

sive,³ initial indications from mobile game and music providers indicate that demand continues to grow for the current generation of mobile entertainment services. The way that consumer demand changes as market penetration increases will greatly affect the development of the mobile entertainment industry.

2. Consolidation: The economics of the mobile operator business is characterized by high fixed network costs combined with commoditization of traditional (voice) products and eroding margins. This makes consolidation between carriers likely in the coming years. Within other entertainment-oriented industries (e.g. radio, television, movies) consolidation among content originators and among distribution points has proceeded rapidly in the past five years. Independent videogame developers and publishers have also undergone a consolidation process recently, as development budgets have grown and competition becomes fiercer. The forces of consolidation have already, and will continue to, have an impact on the mobile entertainment industry.

3. Revenue Models: Viewed most broadly, the money that fuels mobile entertainment can come from two sources: consumers or advertisers. Money from both must be divided up among the stages of the value chain in proportion to the risk assumed in sufficient quantity to encourage growth. The failure of the previous generation of mobile data services was assigned partly to the lack of revenue flow from the consumer up the value chain. The success of the mobile entertainment industry depends on the development and propagation of sustainable revenue models that support value-adding companies at all stages of the value chain.

4. Substitutions and Outside Threats: As the availability of all entertainment grows, each media struggles for its share of the consumer's attention. While mobile entertainment has the advantage of portability/ubiquity, connectedness and relatively low incremental price, it is constrained by a number of factors. The ways and the channels in which consumers entertain themselves will determine the potential of the mobile entertainment industry.